

Learning by supplying to climb the value chain: suppliers' transition from B-to-B to B-to-C

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Abstract

Purpose – Drawing on organizational learning and dynamic capabilities literature, this study aims to explore how suppliers from traditional emerging economies (STEE) can acquire, assimilate and use new knowledge essential for the development of production and marketing capabilities. These capabilities then facilitate suppliers in climbing the value chain from B-to-B to B-to-C.

Design/methodology/approach – The study adopted a longitudinal and multiple case study design to examine the practices of suppliers operating in a traditional emerging economy setting. This study selected Pakistan textile industry as an empirical setting, which is a predominantly supplier market for global buyers. Data sources entail semi-structured interviews with top executives and senior-level managers in four case firms and secondary data obtained from diverse sources.

Findings – The study identified transitionary phases of capabilities development that are facilitated by boundary-spanning knowledge acquisition and transformation in a dynamic manner. These capabilities are essential for a supplier's entry into downstream international markets (i.e. launching its own products/brands in the end consumers' market).

Practical implications – The findings could help managers in STEEs to understand the strategic importance of supply chain ties in their learning and capabilities development. It also provides strategic insights on what, how and why involved parties do engage over an extended period of time. Moreover, the findings of this study could help other firms to know and adopt the right type of technology(s) and systems that can help them reduce the technological gap in producing and marketing market-winning products.

Originality/value – This study advances the recent academic discussion that focusses on learning by supplying and the value-chain movement of suppliers (i.e. B-to-C) from their B-to-B engagements. The findings identified the vital and beneficial role of long-term relationships with global value chain partners in learning and capabilities development that led to value creation in the traditional emerging economy.

Keywords Buyer-supplier relationships, Inter-organizational learning, Dynamic capabilities, Global value chain, Textiles and apparels

Paper type Research paper

1. Introduction

Over the past few decades, the world's economies have become increasingly interdependent. Firms are under tremendous pressure to offer innovative products and services at competitive prices. To survive in such a highly competitive business environment, firms – primarily located in developed countries – have disintegrated their value chain by establishing outsourcing ties with suppliers from developing countries (Contractor *et al.*, 2010; Gereffi *et al.*, 2005; Islam *et al.*, 2021a). These relationships help buyers reduce production costs and allow suppliers to generate revenues (Ellram *et al.*, 2008). In this win-win situation, both the buyer and supplier

firms prefer long-term relationships (Prajogo *et al.*, 2020; Elfenbein and Zenger, 2017). Through long-term relationships, both parties can develop mutual trust (Dyer and Chu, 2011), which can help partners understand each other's organizational routines (Dyer and Chu, 2011; Becker, 2004) and establish effective communication channels (Walter *et al.*, 2003) to facilitate knowledge transfer. This knowledge transfer creates a window of opportunity for suppliers to climb up the value chain (Alcacer and Oxley, 2014; Wan and Wu, 2017) and launch their own products/brands in the end consumers'

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market. Several practitioner-oriented case studies have highlighted cases where suppliers climbed up the value chains. For example, Inventec, a component supplier for a personal computer manufacturer, has launched its own computer brand (Khanna and Palepu, 2004), HTC, historically a component supplier launched its own smartphone brand in 2002 (Yoffie et al., 2012), and Galanz, a component supplier launched its own microwave oven brand (Zeng and Williamson, 2003). Despite the compelling case-based evidence indicating that suppliers climbed up the value chains, this phenomenon is theoretically under-explored and is worthy of further investigation (Alcacer and Oxley, 2014; Wan and Wu, 2017). In this study, we address this call and explore the underlying mechanisms of acquiring and transforming new knowledge essential for the development of supplier capabilities and for entering downstream international markets, i.e. climbing the value chain from B-to-B to B-to-C.

The conceptual framework of this study has two pillars: dynamic capabilities and supply chain management (value chain movement and long-term buyer–supplier relationships). Dynamic capabilities serve as enablers for value chain movement Weerawardena et al. (2019), Teece (2007). The theoretical underpinning for climbing the value chain from B-to-B to B-to-C is inspired by Mudambi's "Smiling Curve" (Mudambi, 2008). According to the Smiling Curve logic, suppliers who are at the bottom of the curve have incentives to engage in more profitable activities at the edges of the curve, i.e. design and brand their own products and/or establish effective marketing and distribution channels to reach to end consumers directly. In parallel, the dynamic capabilities framework suggests that suppliers must continuously engage in certain routines that can enhance acquisition and transformation of new knowledge:

- (1) sense and shape opportunities and threats, (2) seize opportunities, and (3) maintain competitiveness through enhancing, combining, protecting, and, when necessary, reconfiguring the business enterprise's intangible and tangible assets (Teece, 2007).

By combining the Smiling Curve and dynamic capabilities logic, it appears that suppliers should continuously be engaged in boundary-spanning knowledge acquisition and transformation activities and climb the value chain at the appropriate time (i.e. see and seize opportunities). For suppliers in the B-to-B context, sources of new knowledge can be internal (such as in-house R&D and experimentation) as well as external (such as knowledge transfer from buyers, competitors and subcontractors). As buyers may be an essential source of external knowledge, buyer–supplier relationships can serve suppliers' needs in external knowledge acquisition and dynamic capabilities development. In summary, buyer–supplier relationships can facilitate dynamic capabilities development which ultimately can help suppliers to climb the value chain. Surprisingly, this important link is under-explored.

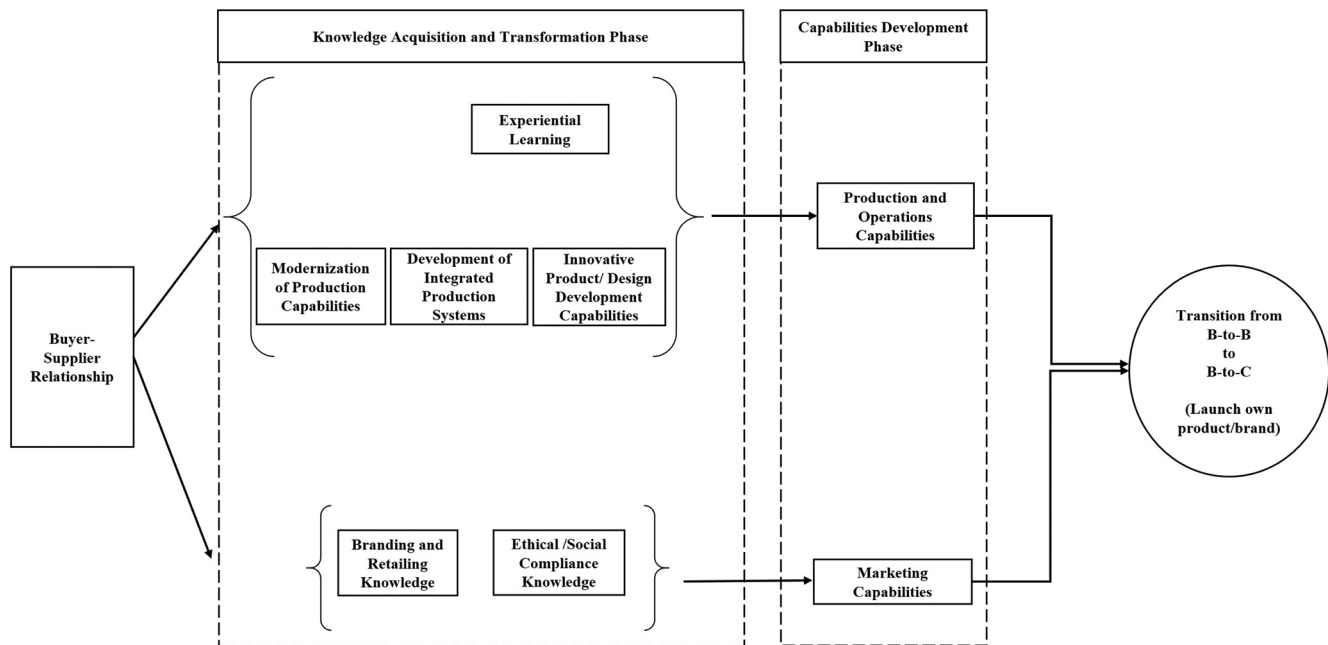
In this study, we integrated three related research streams, i.e. long-term relationships, dynamic capabilities and value chain movement (Smiling Curve), and pose a specific research question:

RQ1. how can STEE acquire and transform strategic knowledge to climb the value chain?

To answer this question, we have developed a model (Figure 1) through which suppliers can develop the capabilities required to climb the value chain. As production/operations capabilities and marketing capabilities are cornerstones of dynamic capabilities (Knight and Cavusgil, 2004; Cepeda and Vera, 2007), we first report four components of production/operations capabilities, namely, *experiential learning; modernization of production capabilities; development of integrated production systems; and innovative product/design development capabilities*, and two components of marketing capabilities, namely, *branding and retailing knowledge and ethical/social compliance knowledge*. Second, we report the backward link of dynamic capabilities to the long-term buyer–supplier relationships for external knowledge acquisition and transformation. Third, we report the forward link of dynamic capabilities to value chain movement, i.e. climb the value chain from B-to-B to B-to-C.

The research context is the textile industry of Pakistan. Despite many pitfalls, Pakistan has provided a predominantly supplier market for Western buyers over the decades. International buyers tend to maintain long-term relationships with Pakistani suppliers. The primary reasons are the availability of raw materials, a supportive ecosystem of related industries, skilled and cheap labour and expertise in textiles to name but a few. In addition, to be compatible, Pakistani suppliers are actively engaged in strategic modernization, such as acquiring expertise, resources and international ethical certifications. This empirical context is a good fit for exploring the theoretical question under investigation in this study, in which we adopted a multiple holistic case design. We adopted purposive sampling (Silverman, 2015) and selected the most suitable cases, as they were information-rich and presented a unique situation for identifying interesting insights relevant to the phenomenon in a longitudinal manner. We conducted semi-structured interviews with open-ended questions with 24 knowledgeable respondents (top and senior-level managers) from leading textile suppliers in Pakistan.

This study contributes to the literature in four ways. First, it advances the recent discussion that revolves around learning by supplying and climbing the value chain by virtue of the long-term relationship between buyers and suppliers (Alcacer and Oxley, 2014; Wan and Wu, 2017). Research in this line of thinking is more diverted towards buyers (multinational corporations) while ignoring the operations and performance (movement in the value chain) of suppliers from traditional emerging economies (STEE), in spite of the fact that the performance of buyers and suppliers in global value chains (GVCs) is deeply intertwined. We focussed on the supplier perspective and propose mechanisms for how the acquisition and transformation of knowledge can facilitate the development of capabilities in STEE (Teece et al., 1997; Teece, 2007), and how these capabilities can help suppliers in climbing up the value chain Weerawardena et al. (2019). Second, it contributes to recent research suggesting that firms indulging in supply chain ties should consider the possibilities of knowledge spillover beyond the focal transaction (Mayer, 2006; Alnuaimi and George, 2016), as ignoring this can intensify competition in the buyer's market over an extended period of time. Third, existing research on the GVC performance conceptualizes performance without focussing on

Figure 1 Knowledge acquisition and transformation through long-term relationship to develop production and operational capabilities

a specific unit of analysis (GVC entity, foreign buyers or developing-country suppliers). This study addresses this issue by focussing on the supplier's (STEE's) learning, capabilities development and upgrading from B-to-B to B-to-C. Despite the fact that learning is a complex and intertwined process (Benito *et al.*, 2019) that needs longitudinal investigation for meaningful insights (Yang *et al.*, 2019), most empirical studies that investigated learning in the supply chain relationships have adopted cross-sectional data. This study aims to address this research dearth by evaluating learnings in supply chain relationships through a longitudinal multiple-case study design.

Finally, this study brings together three distinct but related research streams such as learning, dynamic capabilities and value chain movement to provide initial insights into how supply chain relationships enhance the knowledge and learning of STEE subject to their supplies ties (Prajogo *et al.*, 2020; Weerawardena *et al.*, 2019; Pal *et al.*, 2019; Dolci *et al.*, 2017).

2. Theoretical background

2.1 Global value chain, governance and learning

Supply chain management literature has highlighted the role of international strategic alliances (Ho and Wang, 2015), sourcing partnerships (Hoque *et al.*, 2016; Sinkovics *et al.*, 2018) and offshore outsourcing ties for learning and knowledge transfer (Islam *et al.*, 2021a; Wagner, 2003). These studies have underscored the importance of interactive learning mechanisms compared to the non-interactive forms (Glückler, 2013), where firms tend to develop relationships with external knowledge creators (Khurshid *et al.*, 2019) to acquire knowledge and develop capabilities (Sinkovics *et al.*, 2019).

A GVC framework is vital in evaluating how global industries organize, evolve and fail over time. Also, it enhances our understanding of how an individual firm can enhance its position within global industries, or markets (Lee and Gereffi,

2015). Furthermore, the GVC framework has identified various governance mechanisms that enhance our understanding of how firms exercise power and control in the value chain. The main governance mechanisms consist of modular, captive and relational (Gereffi *et al.*, 2005). Under the modular mode, highly specialized suppliers take full responsibility for the supplies based on codified customer specifications (Sinkovics *et al.*, 2019). In the captive modes, the suppliers lack capabilities, therefore, they are mostly dependent on and controlled by buyers. In the relational governance mode, both buyers and suppliers have unique capabilities mutually dependent on each other and frequently interact to share knowledge and enhance value.

From suppliers' perspective, the engagements in offshore outsourcing with diverse clients expose them to diverse international markets, up-to-date technological knowledge and the latest market trends (Luo *et al.*, 2017). Through a wide range of buyer-supplier relationships (short-term and long-term), the suppliers can acquire knowledge through learning by doing (Arrow, 1962), learning by supplying (Alcacer and Oxley, 2014), learning by exporting (Love and Ganotakis, 2013; Vendrell-Herrero *et al.*, 2022), learning by offshoring (Sinkovics *et al.*, 2018) and learning from failure (Fletcher and Harris, 2012). This enables suppliers to improve existing offerings and processes, as well as develop new designs and products. In particular, suppliers in developing economies rely primarily on relationships with buyers in developed countries for new knowledge acquisition and capabilities development (Ernst and Kim, 2002). Therefore, suppliers in developing economies prefer to establish long-term relationships with reputable buyers to keep the rhythm of learning and upgrade capabilities to pursue growth and movement in the value chain. Long-term relationships can be critical in building trust (Dyer and Chu, 2011; Dyer and Hatch, 2006), understanding mutual organizational routines (Zahra and George, 2002) and

establishing effective communication channels (Walter *et al.*, 2003) for efficient knowledge exchange. Through long-term relationships, suppliers would be in a better position to establish informal ties (social ties) with the buyers (Dyer and Chu, 2011; Dyer and Hatch, 2006). These social ties can facilitate the exchange of tacit knowledge, which is otherwise hard to transmit and assimilate (Cohen and Levinthal, 2000). Over time, leveraging buyers' resources, knowledge and R&D (Sung and Hong, 1999), suppliers can accumulate the knowledge essential for process improvement, production efficiency and ethical standing, thus helping suppliers upgrade their capabilities.

However, it is not easy to establish a long-term relationship and motivate buyers to share critical knowledge. Suppliers must bring certain resources and capabilities to the relationship to connect with GVCs and motivate the buyers to share idiosyncratic knowledge, resources and routines. Therefore, suppliers must show strategic intent and find new ways to manage relational governance to learn, share and apply knowledge to climb the value chain. In this regard, dynamic capabilities – the ability of a firm to create new, extend or modify its existing knowledge and resources to stay abreast or ahead of changes in the market – play an imperative role (Helfat *et al.*, 2007).

2.2 Buyer–supplier relationship, dynamic capabilities and value chain movement

The knowledge-based view focusses on the management of heterogeneous knowledge resources for achieving competitive advantage (Grant, 1996; Felin and Hesterly, 2007). Dynamic capabilities relate to strategic intent and activities that support building new knowledge configuration and provide a platform for a firm's competitive strategy. The configuration of new knowledge enables the firm to pursue its value-creating strategy via capabilities to react to uncertain business environments as well as act to anticipate future changes (Teece, 2007). It enhances a firm's abilities to change, update and efficiently use the knowledge resources and capabilities to strengthen existing operations (Helfat and Winter, 2011).

Recently, a number of studies have identified certain patterns that guide the evolution of a firm's resource configuration (Helfat *et al.*, 2007) and extend beyond a firm's specific boundaries, including external actors who possess diverse knowledge and resources (Forkmann *et al.*, 2018). For example, Shamsollahi *et al.* (2021) investigated the dynamics in a buyer–supplier relationship and found that the relationship evolves over time and passes through various stages, including relationship continuity, relationship learning and fluctuation. Other studies in this domain identified that firms carry out specific routines to develop new or upgrade existing capabilities (Jain, 2016; Surdu *et al.*, 2021). The research has focussed on how firms orchestrate their strategies, resources and tasks to capture value from their external relationship (Gomes *et al.*, 2016; Minerbo and Brito, 2021). Similarly, other studies have identified that firms continuously update their capabilities and knowledge through shared routines with partners (Shamsollahi *et al.*, 2021). Recently Irfan *et al.* (2022) identified that dynamic capabilities are relationship-specific, aiming to improve relationships among various supply chain partners to enhance resilience in their supply chain. Therefore, firms need dynamic

capabilities to manage their relationship with partners (Niesten and Jolink, 2015). The suppliers' dynamic capabilities focus on sensing and seizing knowledge, resources and opportunities through resource redeployment, relationship development and coevolution (Teece, 2007; Beske *et al.*, 2014; Gruchmann *et al.*, 2019).

Despite the connections with GVCs have been considered one of the vital sources of learning, knowledge and resource acquisition for suppliers (Gereffi *et al.*, 2005; Lee and Gereffi, 2015), merely retaining these connections does not guarantee better performance for suppliers (Humphrey and Schmitz, 2002). The literature on value creation and value appropriation suggests that each party involved in the GVC prefers a greater share in the distribution of the value it creates; this can lead to conflicting interests among GVC parties, and it is therefore critical to understand how the mechanisms of value distribution work (Elfenbein and Zenger, 2017; Wilhelm and Sydow, 2018). In this regard, some researchers suggest that the bargaining power of each party can help determine its appropriate level in value distribution. In the buyer–supplier context, the level of competition, the availability of alternatives, the opportunity costs and the switching costs shift the bargaining powers between the parties (Adegbesan, 2009). When alternative suppliers are available, and switching costs are minimal, the bargaining power shifts in favour of the buyers and the value distribution is also skewed towards the buyers. In addition, suppliers in traditional emerging economies are criticized for weak institutions, underdeveloped factor markets and social non-compliance, which further harms their negotiating position. As a result, the share of STEE in the distribution of value is normally minimal. Recently, in this line of thinking, several studies have addressed the traditional emerging economies context and the suppliers' strategies to acquire resources and build 'capabilities that can help them to move towards high value-added operations and offerings, despite weak institutions, volatile business environment, underdeveloped technological infrastructure and factor market and relational setting (Bilgili *et al.*, 2016). Suppliers should develop capabilities at least in three areas:

- 1 upstream, i.e. exploiting raw materials, research and design;
- 2 middle-end, i.e. manufacturing, processes and logistics; and
- 3 downstream, i.e. end-customer, marketing and distribution, retail selling, branding and post-sale service (Lee and Gereffi, 2015).

Bilgili *et al.* (2016) divided emerging economies into three categories traditional emerging economies, mid-range emerging economies and newly developed economies based on the institutional, infrastructure and factor market development. The newly developed economies have high institutional, infrastructure and factor market development, mid-range emerging economies have medium, whereas traditional emerging economies lack institutional, infrastructure and factor market development. Pakistan belongs to traditional emerging economies with weak institutions, volatile market environment, underdeveloped markets (Sinkovics *et al.*, 2018) technological and infrastructural factors. In addition, security and terrorism make it an adverse environment. In such a

context, supplier firms are more inclined to spend resources on duplicative imitation learning as opposed to creative imitation and innovation (Bilgili *et al.*, 2016) and reply to external sources for innovative knowledge.

According to the “Smiling Curve” logic (Mudambi, 2008), suppliers who are at the bottom of the curve have incentives to engage in more profitable activities, i.e. design and brand their own products and/or establish effective marketing and distribution channels to reach to end consumers directly. Hoque *et al.* (2016) explored Bangladeshi garment suppliers' ties in the offshore outsourcing with international leads clients over an extended period of time through multiple case study research. They examine the suppliers' connections and repeated interactions with buyers through a special tie termed “promissory contract” without any legally written contract. Under this contract, the buyers are not legally bound to make a repeat purchase but make a promise which compels the buyer informally to make a repeat purchase in the future if the suppliers perform at an expected level in the present transaction. Such “promise” remained a stimulus for the suppliers to make relationship/client-specific investments over time. This enhances the supplier's access and acquires the buyers' explicit knowledge and learning through repeated interactions to upgrade their operations. Similarly, Sinkovics *et al.* (2018) found that Bangladeshi suppliers proactively built innovative capabilities to upgrade the value chain while connecting via relational ties with the buyers despite the underdeveloped context. Sinkovics *et al.* (2019) explored Pakistani IT offshore service suppliers' connection with GVC partners and identified the suppliers' close connections with the buyers and comply with their specifications has a springboard effect on the learning, knowledge acquisition and understanding latest trends in end-user market needs. Similarly, Irfan *et al.* (2022) adopted a single longitudinal case study and found that a Pakistani fashion apparel supplier has developed capabilities based on proactive strategies while establishing long-term ties with multiple buyers and value chains and proposed a supply chain resilience model.

The suppliers are better positioned to absorb and apply the acquired knowledge according to their needs. To do so, suppliers need to make idiosyncratic investments (machines, systems, technology, design facilities and processes) to mitigate technological gaps and offer market-winning products and processes (Gebauer *et al.*, 2011; Abdullah *et al.*, 2021; Khan *et al.*, 2018). Also, suppliers may establish design studios to showcase innovative ideas and products in the end customers' geographical regions (Sinkovics *et al.*, 2018). This allows them to familiarize themselves with the latest market trends of their buyers' target market, get consumers' feedback on the innovative products showcased (Bradley *et al.*, 2006; Sinkovics *et al.*, 2018) and understand the dynamics of the international business environment (Blalock and Gertler, 2004; Salomon and Shaver, 2005). By doing so, suppliers can develop marketing capabilities beyond the buyer–supplier relationships such as marketing, promoting their own brands and retail business.

To protect consumer interests and ensure quality standards, buyer firms and importing governments mostly impose mandatory certification requirements and specific mechanisms that the companies interested in selling products must follow

(Gualandris and Kalchschmidt, 2016). Ethical certification issuing bodies assess applicants' compliance with firm-specific, country-specific and/or global standards (Valente and Crane, 2010; Corredoira and McDermott, 2014). The issuing bodies ensure the compliance of finished products (by suppliers) and assess the compliance level of the entire value chain. Thus, suppliers must comply with quality/social standards and acquire ethical certifications to win business from international buyers. Through social ties between individuals working with the buyer and supplier firms, the latter may understand the ethical certifications and social compliance requirements to which the former must conform to sell the products in the end customer market. This understanding may also facilitate the suppliers' market entry when launching their own brand. In addition to facilitating entry requirements, conformity with social compliance and ethical certifications also build customers' confidence in the supplier's products, signalling a positive image among potential employees, attracting top talent (Osburg *et al.*, 2020) and achieving overall market acceptability.

In summary, given that it is in the interest of suppliers to move up in the value chain and become independent innovators and own-brand producers (Bartlett and Ghoshal, 2000), the current study explores how suppliers in traditional emerging countries can design strategies to derive greater value. In this regard, we propose the beneficial role of the bottom-up approach of GVC and focus on production/operational capabilities and marketing capabilities. These capabilities can stimulate the suppliers' entry into the downstream value chain (Weerawardena *et al.*, 2019).

3. Methodology

3.1 Research approach

We adopted the theory elaboration approach based on Magnani *et al.* (2019) recommendation. This approach takes the perspective of situational groundedness while adopting the same rationale as the grounded theory to focus on the theoretical abstraction. The themes, concepts and categories are grounded in data, and this process reveals less emergence, as it is guided by *a priori* theoretical consideration (Ketokivi and Choi, 2014). Based on the understandings from organizational learning and relational perspectives to identify “how supplier firms from traditional emerging economies can strategically upgrade while engaging in long-term buyer–supplier relationships?” Notably, we are directed by the diverse roles played by external (customers demand, market trends, market opportunities and threats, etc.) and internal factors (firm strategies, resources, adoption of market conditions and growth, etc.) that enhance and limit the value creation of firm through deliberate strategies. Table 1 depicts the snapshot of methodology adopted in the current study.

3.2 Case selection criteria

Based on the phenomenon under examination and the nature of the research question, we adopted a qualitative inductive and interpretive research approach. We adopted a holistic multiple-case design (Yin, 2009) over eight years. The multiple and longitudinal studies are critical and suitable in international business research while exploring, interpreting and explaining a

Table 1 Methodology adopted in the current study

Steps	Main features
Research design	- Qualitative longitudinal holistic multiple cases - Interpretivism – understand the phenomena from the subjective meaning and focus on the interpretation of respondents in a real business setting - Clearly defined the phenomenon and research question “how” diverse terms and concepts and their interrelationship emerged over time - We consult the existing strand of literature but did not make conclusions to allow anomalies and discovery of new understandings
Data collection	- Semi structure interviews with open-ended questions - Focus on the respondent's interpretation, who are knowledgeable agents - Adjust the interview guide according to the respondent's responses - Note questions that arise from the interviews
Analysis	- Start with initial coding (first-order coding) based on the native (indigenous) terms adopted by the respondents - Record the details of the terms from the first order coding - Organize 1st-order codes into 2nd-order themes while consulting exiting literature - Refine 2nd-order themes into central theoretical dimensions - Combine terms, themes, and dimensions into an aggregate “data structure”
Theory articulation	- Frame the connection and relationships among the 2nd-order themes and concepts in data structure - Transform the data structure into dynamic grounded theory - Corroborate with existing literature to polish emergent concepts, and their interaction

certain process and phenomenon over time. We explored the phenomenon from the respondent's viewpoint in three stages in a time span of eight years while enhancing the generalizability of the study from cross replications of patterns across diverse data sources (Yin, 2014).

We adopted a purposive sampling technique to select both the industry and case (Silverman, 2015). We carefully choose industry and cases (Eisenhardt and Graebner, 2007) based on the relevance, richness and diversity of information to get similar characteristics and theoretically relevant antecedents (Miles et al., 2018) in understanding specific phenomena (supplier transition from B-to-B to B-to-C). Thus, the selection of industry and cases is fuelled by our research problem, objectives (Ghauri et al., 2020) and time and cost constraints. We carefully consider various suggestions regarding the selection of context (industry and region) and cases. For example, Yin (2014) stated that “having at least two cases should be your goal”; Eisenhardt (1989) suggested between four and ten, whereas Creswell and Poth (2016) stressed four to five cases. Accordingly, we focussed on one industry and region to have homogeneity (Zheng et al., 2022) and uniformity in our explanations and interpretations. Thus, we select one industry, one region and four cases that comprehend our knowledge by observing common patterns to understand learning by supplying and transitioning from B-to-B to B-to-C. Table 2 provides details of the participants in four case companies.

It is important to understand the difference between B-to-B and B-to-C. B-to-B is the business-to-business relationship (or the buyer–supplier relationship is a type of relationship) where the supplier produces the products and sells them to the business customer. The business customer then sells to the

end-user after a certain process under its own brand name and marketing. On the other hand, B-to-C is the business-to-consumer relationship, i.e. the producer produces the product and sells it directly to the end consumer under its own brand.

We divided the selection into two stages while adhering to strict criteria. In the first stage, we identified the main industries (textile, leather, sports, chemicals and software). We found that the selected industries contributed to the GDP, economic growth and high share of exports in total country exports. Furthermore, these industries remained active in export, have long and strong sourcing ties with international firms and remained active in R&D, value creation and innovation. Thus, contribute to the development of the local economy, firms and support firms in their value creation and movement in the value chain. This provides an insight depth and understanding of the industries.

We selected the textile industry as a suitable industry, given its vital role in the local economy and its involvement in global supplies after careful screening and analysis of the main industries. The textile industry provides a fertile ground to study the phenomenon under investigation, based on its connection with GVCs. Furthermore, Pakistan is among the top five producers of cotton and the third largest producer of yarn globally. Textiles account for about 46% of total manufacturing and 56% of Pakistan's total exports, contributing to 38% of employment in manufacturing and 8.5% to overall employment. For logistical and cost reasons, we focussed on the region of Faisalabad and Lahore. Both regions are textile hubs with a strong cluster of textile-related industries.

In the second stage, we focussed on the local firms (suppliers) in the textile industry and analysed their ties with

global partners and the effect of their ties on their learning, capabilities development and movement in the value chain. We specifically focus on the involvement of the case firms in enhancing B-to-B relationships, learning over time and further using ties in learning to move downstream (retail branding, marketing and selling). This provides a clear picture of the firms' involvement in the GVCs and downstream value chain movement.

Thereafter, we used the following selection criteria:

- case firms must actively be involved in international supplies;
- more than 60% of their offerings are exported;
- firms must be connected with global buyers via good marketing, designing and vertically integrated production facilities;
- firms should make independent decisions and strategies related to international supplies and operations;
- have an online presence via independent websites;
- firms should be involved in R&D, new product/design development; and
- firms should be active in both B-to-B and B-to-C retail, branding and marketing.

Accordingly, we identified a number of potential suppliers that fulfilled our selection criteria. We narrowed down the selection of the firms in the industry. We noticed that the textile industry has various segments and clusters based on value creation such as spinning, weaving, dyeing, finishing, printing, processing, garments and home textile manufacturing. We focussed on two important and high-value creation segments, namely, the apparel and home textiles located in the vicinities of Faisalabad and Lahore. We carefully screened and contacted 17 firms and acquired full access to nine companies for interviews and site visits. Finally, four firms were selected based on the richness, diversity of information and theoretical relevance.

3.3 Data sources and collection

We used both primary and secondary sources for data collection. The data comprises interviews, experts' insights, archival data, company documents, reports and website audits. We tracked the case companies for eight years and conducted 72 (24 × 3) face-to-face semi-structured interviews and sites visit of the case firms in three stages.

We interviewed highly knowledgeable informants (Eisenhardt and Graebner, 2007) who view the focal phenomena not only from a diverse perspective but were also involved in it. We conducted the interviews in English, which last between 45 and 120 minutes and were recorded. In addition, important points were noted during the interviews to explore the vital aspects further. To track the longitudinal aspect and evolution of the firms' international supply ties from inception to later stages of international supplies and to upgrade the GVC, we collected the data in three phases (see details in Table 3). The first phase was conducted from February to April 2012; the second and third phases were conducted from April to June 2015 and October to December 2019, respectively. The longitudinal data was used to reconstruct retrospectively. We designed the protocol in a way that put back the respondents in time and asked them to provide a stepwise chronology of the critical events during the

evolution of firm engagements with international buyers. We adopted the best practice in retrospective research in our interview protocol. We explicitly requested the respondents adhere to accuracy and share the information according to their best recall. This reduces the retrospective bias (Bingham and Eisenhardt, 2011).

The interviews and secondary data were used to reconstruct and triangulate the retrospectively initiating supplies ties, connection with global chain and further commitment to global supplies and markets, learning and development of diverse capabilities and thus track the firms' strategies related to movement (shift from B-to-B to B-to-C) in the value chain. Moreover, respondents' involvement in the critical events and decisions made the chronology more practical (Magnani et al., 2019).

We used semi-structured interview questions that focussed on the background information of the firm and respondents; chronological evidence of the critical incidents (learning and developing new capabilities) that connect the firms with the GVCs and evolve over time; the type and nature of GVCs connection; nature of relationship and commitments; the nature of offerings, processes and operations; firms' strategies and strategic response to business environment; changes in operations and offerings over time; intensity and effect of changes on firms value chain; and future plans.

All the interview data were transcribed verbatim, precisely in the same order in which the interviews were conducted. Author 1 transcribed each interview twice to ensure consistency and clear understanding for a meaningful analysis. Two authors randomly checked for biases and verified the consistency of the transcription. After transcriptions, some differences were identified that were discussed by the research team and with the respondents for verification. The primary and secondary data were compiled in the form of a case summary for each case company. The summaries were shared with the respective respondents, to check the accuracy, add new insights and create trust between the respondents and the research team.

3.4 Data analysis

We adopted the qualitative and interpretive research design to comprehend the existence of multilayer socially constructed realities. Similarly, the qualitative and interpretive approaches help to explore and identify diverse interpretations of social reality and bring them together in a specific context and time (Miles et al., 2018; Guba and Lincoln, 1989). Moreover, multiple cases are studied to explore the phenomena, to obtain, refine and develop a theory (Eisenhardt, 1989), that explicitly highlights learning by supplying and upgrading.

In addition, we focus on the people (knowledgeable agents) who construct the organizational realities, those people in organizations know what they are doing, are involved in various operations and strategies and explain the various processes, thoughts and actions in a particular context and time. This enhances the insights and provides diverse and rich information regarding a particular phenomenon in a specific context. Therefore, we did not impose prior constructs or theories on the informants but rather focus on their indigenous explanation for understanding or explaining their experience reading the phenomenon. We capture the informants' experiences in

Table 2 Background information of case firms

Description	Case			
	C1	C2	C3	C4
Inception	1995	1993	1992	1984
Type of company	Public Limited Company	Family-owned	Public Limited Company	Public Limited Company. 37% shares acquired by 2 Chinese companies
Nature of business	Denim Apparel	Home textiles and fashion garments	Denim apparel	Knitted apparel
Production capability	Vertical integrated facility	Vertical-integrated facility	Vertical-integrated facility	Vertical-integrated facility
Sales	US\$83m	US\$89m	US\$105m	201m
International sales/ exports	75%	72%	87%	87%
Number of employees	7,200	3,000	7,000	12,900
First export	Direct export to the USA in 1995	Direct export to UK 1993	Direct export to Italy in 1995	Direct export to the UK in 1995
First foreign subsidiary	Marketing office in Ireland in 1998	Sales office in Germany 1994	Marketing & sales office in Italy in 2002	Production subsidiary in Jordan in 2000
Global value chain connection	OEM, OBM, ODM, Design and pattern development services, R&D service, Co-product development, Lead supplier	OEM, OBM, ODM, Lead supplier	OEM, OBM, ODM, Design and pattern development services, R&D service, Lead supplier, Product and Chemical testing	OEM, OBM, ODM, Design and pattern development services, R&D service, Lead supplier
Main regions/markets	USA, Europe, Australia, Middle East, Japan Mexico.	USA, Europe, Australia, Middle East and Gulf.	USA, Europe, Australia, Middle East, and Gulf. Including 30 countries across 5 continents	OEM, OBM, ODM, Design and pattern development services, R&D service, Lead supplier
Lead clients/ GVC partners	Including 50 countries Indicted Group, Adidas, Levi's Strauss (Global), Esprit, Tommy Hilfiger, Jenny, H&M, D&G, American Eagle, Pierre Cardin,	Including 25 countries IKEA, Aldi, Lidl Europe, Metro Group Europe, Next, Walmart, Bed bath and beyond Merrimac Canada	Tommy Hilfiger, G-Star Raw and Gap, H&M, Indicted Group, Gina Tricot, Blend, Next	Polo Ralph Lauren, Calvin Klein, Nautica, Tommy Hilfiger, Next, JC-Penney, Wal-Mart, Amazon, H&M, Mango, Adidas, Billabong
International presence	6 subsidiaries About 50 countries	2 subsidiaries and 1 affiliate. 17 countries	8 subsidiaries About 45 countries	9 subsidiaries & 2 affiliates About 25 countries
International Certifications	ISO-9001, ISO-14001, WRAP, SA-8000, GOTS, OE-100, OEKO TEX-100, BCI etc.	ISO 14001:2004, OHSAS 18001 :2007, Oeko tex 100, STeP, GOTS, FSC, OCS etc.	ISO-9001, ISO –14001, OEKO TEX-100, SA-8000, GOTS, OE-100, OE-BL, Sedex, GRS, OCS, Cotton USA	WRAP, ISO-9002, ISO-14001, SA-8000, REACH, GOTS, Organic Cotton Certified, OEKO TEX-100, BSCI, OE (Organic Exchange) Blended, Cotton USA certified (ASA)
Marketing, branding and collection	Selling via own brand in Pakistan, UAE	Marketing and selling via own brand in India, Bangladesh, and UK	Production and marketing of denim textile and apparel products, ranging from yarn, and technical fabrics to retail-ready apparel under their own collection and names	Marketing and selling via own collection through own and Chinese affiliates

theoretical terms. Thus, we heavily focus on the respondent information in the early stages of data gathering and analysis and represent their voices prominently in the reporting of the research, which creates rich opportunities for the discovery of new concepts rather than an affirmation of existing concepts.

Following the rich tradition in social science research, we adopted an inductive approach in data gathering and analysis to develop “grounded theory” (Glaser and Strauss, 1967; Strauss and Corbin, 1998) that provides diverse and rich theoretical insight into the context and time within which the phenomenon

Table 3 Details of the participants in four case companies

Case	Respondent's profile	Department	Abbreviation	Years of experience	Interview year and time duration (minutes)		
					First round February–April 2012	Second round April–June, 2015	Third round October–December, 2019
C1	AVP Supply Chain	Supply Chain	R1	16	50	70	45
	SM Marketing	Marketing	R2	21	65	72	65
	VP Marketing-Europe	Strategic Marketing	R3	20	70	80	50
	SM Merchandizing and Sales	Mechanizing	R4	16	75	65	45
	AVP Marketing	Marketing	R5	16	55	50	65
	VP Designing and Product Development	Designing	R6	25	65	90	55
	DM R&D-Textiles	R&D	R7	15	50	75	60
C2	AVP Textiles Production	Production	R8	23	110	70	110
	VP Human, Resources and Sustainability	Human Resources	R9	26	55	50	65
	SM Manager Marketing	Marketing	R10	11	95	80	85
	SM Product Planning and Marketing (Brand)	Product Planning	R11	13	80	75	75
	SM Product Development and R&D	R&D	R12	10	70	70	75
	SM Production	Production	R13	13.50	90	90	70
	Manager, Human Resources	Human Resources	R14	14	65	50	40
C3	GM Operations & Production	Production	R15	23	45	70	50
	Manager, Sales & Marketing-USA	Marketing	R16	14	50	65	45
	Manager Sales & Marketing (Brand)	Marketing	R17	15	70	90	65
	GM Garments division	Strategic Management	R18	23	80	100	90
	Manager Product Development and R&D (Garments)	Designing and R&D	R19	14	70	80	75
	DD Supply Chain and Logistics	Supply Chain	R20	13	85	95	85
	Director Marketing	Marketing	R21	24	120	70	110
C4	SM Marketing and Mechanizing-USA	Mechanizing	R22	18	75	60	55
	Manager, Product Development & R&D	Product Development and R&D	R23	13	75	55	50
	Director Production, Planning & Control	Product Planning	R24	19	115	80	95

Notes: VP = Vice President, SM = Senior Manager, DM = Deputy Manager, AVP = Assistant Vice President, GM = General Manager, DD = Deputy Director

occurred. Grounded theory is a vital pathway for conceptual innovation and “discovery of theory from data” (Glaser and Strauss, 1967) in social sciences. The grounded theory became a central data analysis approach due to its inductive, contextual and process-based nature (Charmaz, 2006), providing exploratory guidelines for data-driven theory construction (Timmermans and Tavory, 2012). Therefore, the analysis is supported by induction for discovering new dimensions, variables, new relationships novelties and anomalies, as well as for producing new hypotheses and propositions (Gioia and Pitre, 1990).

Based on the adoption of the inductive approach, we generate meanings from the data (the indigenous or native terms) to identify patterns that help us to identify concepts and relationships and formulate these concepts in relevant theoretical terms. Inductive reasoning is based on learning from experience. Patterns matching and symmetries in experience are observed to reach certain conclusions (or to enrich or generate theory).

We started our analysis by coding while using NVivo 10 & 12. We coded the interview transcripts and the data obtained from the secondary sources through content analysis. We focussed on the contextual meaning of the text and developed categories (patterns) that depict similar meaning (based on similarities and differences) as well as noticed the unique aspects. A constant comparison method was used to generate common codes from the dataset. In the first stage, initial coding has been extracted from the interview transcriptions based on the native terms adopted by the respondents. It is then followed by a second-order analysis using researcher-centric, concepts, themes and dimensions created from present literature. We generated the codes in various categories from the collected data while connected with the native terms and language used by the respondents (Gioia et al., 2013). Initial coding includes main operations, ties with foreign clients and sourcing partners, nature of supply ties, customer specifications, main markets and regions, nature of services offered, critical events, dynamics in the market, nature of the relationship, changes in ties, the present state of the case firms and emerging themes. The coding was further funnelled into aggregate dimensions (Gioia et al., 2013). The second-order coding consisted of involvement in foreign operations, changes in supply ties, modes and nature, movement in the value chain, sourcing ties, knowledge acquisition (learning) via various sources, dynamic ways for learning, main motivations for engagement with international clients and their residual effect on the movement in the value chain, coexistence of B-to-B ties and B-to-C. Resultantly, 42 codes in six categories were acquired. We used a “visual mapping strategy” (Langley, 1999) to make sense of our evidence shown in Table 4.

4. Findings

Overall, the data affirmed that buyer–supplier relationships remained the dominant mode in knowledge, resource acquisition and learning for involved partners. Where the involved partners share their resources and knowledge to develop capabilities to acquire value and enhance their position or upgrade in the value chain. However, the sharing of resources is not automatic, each partner should contribute

certain resources and knowledge specific to the relationship. Furthermore, the value creation and distribution by traditional emerging economy suppliers, in particular, is driven by their capabilities development through proactive strategies and learning by doing/supplying via buyer relationships. Thus, it can be described as a way of learning and upgrading in dynamic competitive markets. In addition, the analysis revealed that both external and internal factors stimulate the suppliers' involvement in different strategies related to various types of learnings in an integrated way (Maon et al., 2009) to upgrade.

4.1 Production and operation capabilities

In our case firms, common features of developing production and operation capabilities were experiential learning, modernization of production capabilities, development of integrated production systems and advancements in design and pattern development (Figure 2). Below is a brief explanation of each common feature.

4.1.1 Experiential learning

The data revealed the critical role of sourcing ties and connection of suppliers in the GVC network in their learning and knowledge acquisition. The suppliers acquire diverse knowledge through repeated interaction with diverse buyers and their proactive strategies to learn and develop capabilities in managing and maintaining international market ties over time. In addition, the buyer had also used diverse external sources to acquire knowledge and upgrade their capabilities to meet the diverse specifications of the buyers. Equally, all case firms mentioned their interaction with international buyers and different value chains as a vital source of learning and gaining rich experience “experiential learning” not limited to technological, product and management practices but also functions of international markets (Dhanaraj et al., 2004). Therefore, experiential learning is the main source of new knowledge gained through continuous engagements with foreign buyers (Scholten and Schilder, 2015). The respondents from cases firms described:

“Based on continuous interaction with our international clients, we learn about [...]. meet their required specifications and acclimatize the contemporary practices to meet the needs of volatile fashion market [...].” (R19) C4.

“[...] [...] variations in orders from different clients around the globe are vital for our learning and hands-on experience [...] repeated interactions over time make us visible as an important player in the network. This is vital for business continuity, learning and inclusion of contemporary aspects in our operations and operations”. (R11) C2.

Similarly, the cross-case analysis categorized experiential learning with learning by doing, learning by supplying, exporting, sourcing and importing, as dominant modes of knowledge acquisition (Holmqvist, 2004; Love and Ganotakis, 2013; Salomon and Shaver, 2005). As all the case firms were engaged in diverse ties with world-leading brands over an extended period. These engagements have a springboard effect on suppliers (Abdullah et al., 2021; Luo and Tung, 2007) to acquire market know-how and technical expertise from foreign buyers resulting in learning and value creation. These engagement ranges from low to high-end tasks such as OEM supplies, idea generation to doorstep delivery, enhancing their capabilities to learn about various aspects and acquire new

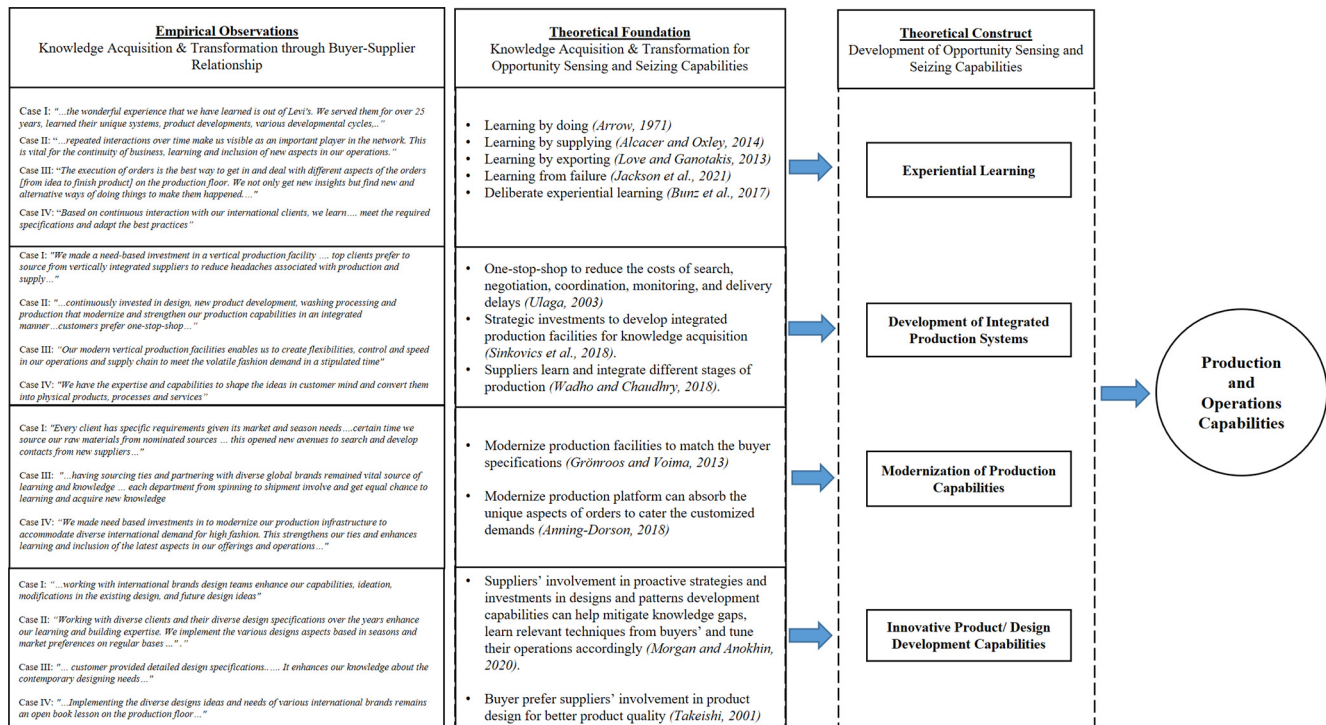
Table 4 Process of Value Chain Movement through long-term relationship

Value chain movement facilitated by organizational learning and capabilities		1994–1998	1999–2001	2002–2006	2007–2010	2011–2019
Case	development					
C1	Production/operations capabilities development	● Acquired integrated garments production capability ● Got training related to production and marketing from American partner and sales and marketing from Irish experts	● Acquired knowledge of nominated suppliers and alternative sources of supplies	● Acquired NPD, quality control and designing knowledge from Italian, UK and US experts ● Learned conversion of ideas into products (prototype)	● Got technology transfer and training in washing from Martelli ● Acquired knowledge of sales and marketing in Europe	–
	Marketing capabilities development	● Acquired ISO certification ● Developed green production facility ● Set water effluent plant	● Acquired inspection and quality control. ● Started third-party audit before dispatch	● Acquired Six Sigma in production ● Started compliance with ILO code of conduct	● Acquired WRAP, BCI, OE 100 Standard of organic cotton, OE Blended organic exchange, SA-8000	–
	Value chain movement	–	–	–	● <i>Launched own retail brand in UAE.</i>	–
C2	Production/operations capabilities development	● Developed capabilities of printed and dyed bedding, quilts, pillows, mattress toppers and protectors. ● Enhanced stitching capacity	● Learned product planning and control techniques. ● Developed sale and marketing skills via affiliates	● Acquired NPD, quality control and designing knowledge from UK and US experts ● Developed conversion of ideas into products skills	● Enriched product portfolio in high-value segment. ● Acquired knowledge of international trends and fashion ● Enhanced ties with suppliers and alternative sources of supplies	● Developed vertical production capability ● Started service provision from idea to doorstep delivery
	Marketing capabilities development	● Acquired ILO labor standards	● Started third-party audit before dispatch	● Acquired ISO-14001:2004, and SA 8000 certificates	● Acquired Certifications such as STeP, GOTS, WRAP, SEDEX, OEKO and Amfort BEPI Audit	● Acquired BCI 2014, GRS and Retailer, Organic Cotton, certifications
	Value chain movement	–	–	–	–	● <i>Launched retail international brands.</i> ● <i>Registered collections, trademarks, and themes</i> ● <i>Started private label manufacturing</i>
(continued)						

(continued)

Table 4

Value chain movement facilitated by organizational learning and capabilities		Case development				
		1994–1998	1999–2001	2002–2006	2007–2010	2011–2019
C3	Production/operations capabilities development	● Acquired integrated denim garment production facility. ● Got training & joint Yarn twisting production with Mexican partners ● Started sales and marketing: via Italian partner and US agents. ● Developed close contact with buyers and their nominated suppliers	● Started joint designing and new product development capabilities with partners. ● Enhanced quality checks and audit	● Upgraded production capacity ● Reduced the lead time for European markets ● Started marketing of high fashion international brands in 40 countries. ● Acquired NPD, quality control and designing knowledge from Italian, and German experts	● Got training and technology transfer from Tonello ● Started Integrated operations (Pakistan and Italy) ● Enhanced global sales and distribution network	–
	Marketing capabilities development	● Started compliance with ILO code of conduct in production and operations	● Acquired ISO certifications ● Started third-party audit	● Acquired SA-8000:2008, ISO-9001:2008, ISO-14001:2004 certifications	● Acquired OE-100, OE-BL, OEKO-TEX 100 certifications	–
	Value chain movement	–	–	–	● <i>Launched own branding both in local and international markets)</i> ● Started 100% online fabrics inspection ● Got training from JC Penny for quality control in production and operations ● Started offshoring production to reduce lead time, cost and duties	–
C4	Production/operations capabilities development	● Established yarn and knitted garment production facility. ● Created close contact with buyers and their nominated suppliers. ● Established local basic garments design studio	● Got training from an American designer	● Enriched product portfolio in high fashion (sports, sleep, lounge, and active wear). ● Connect global suppliers and alternative sources of supplies. ● Reduced the lead time	● Started training from JC Penny for quality control in production and operations ● Started offshoring production to reduce lead time, cost and duties	–
	Marketing capabilities development	● Started compliance with ILO labor standards	● Started quality control through external audit	● Acquired WRAP and OEKO TEX-100 and ● ISO-14001–2004 certificates	● Acquired ISO-9001:2008, OE-100 and OE -Blended and colour accreditation NATIFIC certificates ● Started back-track bar code system for visibility and audit ● <i>Launched own brand of Yarn</i>	–
	Value chain movement	–	● <i>Launched own international retail brand of Polo shirts</i>	–	–	–

Figure 2 Transformed production and operational capabilities through knowledge acquisition and transformation

knowledge in an integrated way, to deeply penetrate the market.

Thus, the learning by interaction (Patrucco et al., 2022) enhances the breadth and depth of the learning process of suppliers and source of implementation of new aspects in formal and informal routines, has a positive effect on the cumulative learning stock of the suppliers (Corradini and D'Ippolito, 2022). The respondents narrated as:

The implementation of diverse specifications and requirements demanded by international buyers is the learning platform for us to include latest aspects [from idea to finish product] in our production and operations. It helps us to learn about new insights and search for innovative solutions to make them happen [...] (R17) C3.

Over time, we have acquired rich experience from our lead buyers such as Levi's. Our relationship developed from ordinary supplier to lead supplier over the last 28 years and remained a continuous source of learning. For instance, we are learning about the new systems, product designing and care for the environment to ensure sustainability (R3) C1.

Furthermore, the findings identified that suppliers not only acquired knowledge but depict certain deliberate routines and actions to closely monitor, evaluate, adjust and adopt knowledge according to the need of a specific situation (Johanson and Vahlne, 2009). This leads to firm deliberate experiential learning as opposed to learning by default (Bunz et al., 2017). Where the suppliers not only engage in various relationships to learn but proactively develop, improvise and engage in trial-error and alternative (indigenous) solutions in handling foreign orders further add to their learning (Bunz et al., 2017). Such deliberate experimental learning increases the chances of implementing new or changing existing operations, processes and offerings rather than duplication, thus, involve in upgrading (Putzhammer et al., 2018).

In summary, experiential learning facilitated suppliers to develop complementary knowledge and capabilities essential for value creation and entry into downstream value chain offerings:

We consistently shape our operations and strategies based on our learning and working with international buyers. We adapt the market best practices and purposefully modify and adjust it to create new possibilities and products according to situation [...] (R4) C1.

Experiential learning is additionally characterized by learning from failures, mistakes or facing a very challenging situation. Our case firms identified the vital role of learning from failure for new or alternative knowledge acquisition (Jackson et al., 2021) and devising viable strategies in their value creation process. The respondents identified that they acquired tacit knowledge from meeting the diverse buyer's specifications and from their mistakes and problem-solving. Though these experiences were not only related to daily operations and relationship-specific (Hoque et al., 2016) but remained strategic in nature. The mistakes and problem-solving at different points in time enhanced the development of rich experience and on-ground lessons. For instance, C4 made a failed attempt to sell its retail brand in the US market. The failure compels C4 to reconfigure and re-strategize its focus, resources and business model in a new direction. Similarly, C1 engaged in the production of a unique fabric "X" with a Turkish client, which later stopped due to a very unusual construction of the fabrics. Such failures contributed to the learning experience and taught suppliers not to stretch beyond their expertise. As the respondent described:

[...] we changed our business model based on our learning from failure. Selling our retail brand [X] in the US was a strategic move, but we were in a hurry, and overall, it turned out to be an immature decision at that time (R19) C4.

Back in 2005, we had a bad experience with one of our Turkish clients because of the unique specifications of their order. We tried something new [produced a unique strange fabric-called Jungle but could not continue [cancel deal in the middle]. That was an eye-opener and a practical lesson for us not to commit anything beyond our expertise (R8) C1.

4.1.2 Modernization of production capabilities

Our case firms highlighted the critical role of sourcing ties and customized specifications to modernize their production capabilities. Given that major buyers tend to require high fashioned and sophisticated products, processes and treatments, suppliers need to modernize their operations and production facilities to match the buyers' specifications (Grönroos and Voima, 2013). In addition, the suppliers modernize their production capabilities to create the needed value for the buyers and themselves (Anning-Dorson *et al.*, 2018; Patrucco *et al.*, 2022) over time.

To accommodate the growing need for high-value-added operations and new product development (NPD), suppliers adopt diverse ways to develop the necessary expertise and technical capabilities to modernize their production competencies (Koufteros *et al.*, 2012). The findings identified the up-gradation of production capabilities was driven by the urge to meet the customized demand for high-end fashion products and increasing variations demanded by foreign buyers (Baines *et al.*, 2009; Senanayake and Little, 2010; Slater *et al.*, 2007). The buyers' diverse market and regional demand enable the suppliers to integrate into NPD and learn unique and innovative aspects. Yet, the suppliers' integration into NPD and meeting specifications may lead to varying degrees of value.

The analysis depicts idiosyncratic investments (machines, systems, technology, design facilities and processes) to mitigate the technological gap in meeting customized demand for high value-added products and processes. Also, the acquisition of experts remains effective in mitigating the lack of expertise in producing market-winning products, processes and services in a timely manner (Abecassis-Moedas and Benghozi, 2012; Haeussler *et al.*, 2012; Protogerou *et al.*, 2017). The findings relate to the acquisition of experts with new ideas generation, development of new and upgrading existing offerings and development of the suppliers' capabilities in a short time (Haeussler *et al.*, 2012; Cheng and Krumwiede, 2018). The respondents mentioned as:

We made need-based investments to modernize our production infrastructure to accommodate diverse international demand for high fashion street. This strengthens our ties and enhances learning to include latest aspects in our offerings and operations [...] (R20) C4.

Modernize our production to improve the quality of our operations and offerings to match with customer's specific requirements (R10) C2.

The company passed through a series of developmental stages by acquiring, tying and investing in latest machines, experts, new technologies and processes to equip us to address the volatility of the high street fashion market. Thus, get excellence in our denim production (Manager, marketing – USA; Manager, sales, and marketing (brands) C3.

In addition, to meet the customized demand of buyers, the suppliers reveal the modernization of production and operational capabilities as a strategic tool. This enables them to acquire tacit knowledge and develop strategic capabilities to shift from production (OEM, ODM) to new product and process development (OBM and promotional collections).

Furthermore, suppliers identified modernization as a vital source to enhance efficiencies and flexibilities in their productions. In terms of improving quality and performance, it is evident that suppliers face increasing pressure for customization, continuous improvements in quality and reliability in their offerings in a consistent manner. Therefore, the advanced manufacturing systems and advanced manufacturing technologies are preconditions for automation and a high level of flexibility to innovate and accommodate diverse buyers' specifications in an agile way (Weigelt, 2009; Uwizeyemungu *et al.*, 2022). The modernized production platform can absorb the unique aspects of orders to learn about and cater the customized demands (Anning-Dorson *et al.*, 2018).

Moreover, the analysis shows interesting findings regarding the modernization of production capabilities process by the individual suppliers, as they tailored their production capabilities to the strategic orientation to enhance value (Rodríguez-Escudero *et al.*, 2022):

[...] having sourcing ties and partnering with diverse global brands remained a vital source of learning and knowledge [production, processes, and services]. Generally, the production of garments consists of interrelated activities carried out by different departments. Being a vertical production facility, each department from spinning to shipment, involves and gets an equal chance to learn and acquire new knowledge (R16) C3.

Every client has specific requirements given its market and season needs. Given the client-specific needs and direction, a certain time we were sourcing our supplies from nominated sources [...] Thus, acquiring supplies from nominated suppliers opens new avenues to search, know about and develop contacts for future innovative and substitution of suppliers [...] (R5) C1.

4.1.3 Development of integrated production system

The majority of international brands prefer a one-stop-shop to reduce the transaction cost such as costs of search, negotiation, coordination, monitoring and delivery delays (Uлага, 2003), through their long-term engagements with international buyers, our case firms made strategic investments in developing integrated production facilities (Sinkovics *et al.*, 2018; Li *et al.*, 2019).

The findings identified buyer specifications as the compelling force of learning and pushing supplier's involvement in integrated operations. Most buyers demand integrated service, by virtue of these integrated services (from product concept to delivery), suppliers tend to learn in-depth at different stages of production (Wadho and Chaudhry, 2018). The findings highlighted the strategic role of integrated production in supplier learning and technological orientation (Li *et al.*, 2019; Kim *et al.*, 2018). It is noted that the suppliers' commitment to R&D, acquisition and application of new technologies, systems and techniques enhance their production capabilities and creates value (Uлага, 2003).

The vertical production facility enhances value for both the suppliers and buyers (Khurshid *et al.*, 2020). The supplier consolidates its supply base and supplies a broad range of customized products and services according to the requirements of the buyers (Uлага and Eggert, 2006; Worm *et al.*, 2017) within a stipulated time. Also, it enables suppliers to control costs and headaches associated with production and coordination (Yeung and Coe, 2015; Cantwell, 2017) while understanding production in-house. The findings relate integrated production with long-term relations that create

longevity in business and the supplier get lead-supplier status (Abdullah *et al.*, 2021; Luo and Tung, 2007):

We made a need-based investment in a vertical production facility [...]. top clients prefer to source from vertically integrated suppliers to reduce headaches associated with production and supply. They knot ties with those suppliers who offer consistent quality, meet the delivery schedule, and comply with standards at affordable prices [...]. (R4) C1.

[...] continuously invested in design, new product development, washing processing, and production that modernize and strengthen our production capabilities in an integrated manner. Normally, customers prefer a one-stop shop and extend their sourcing ties with trusted suppliers [lead supplier] over time. (R10) C2.

We acquired modern technologies, machines, and personals to reduce the competency gap between us and the global market. Thus, meeting the needs of a wide range of services and solutions [from idea to finished product] of dynamic fashion market (R14) C3.

The findings identified that integrated facilities enhanced the suppliers' capabilities to offer a broad range of offerings and services to cope with demand uncertainties and variations (Fernhaber and Patel, 2012) and create efficiencies in terms of cost, quality, agility and in-time delivery essential for positive business relationships between buyers and suppliers (Ferriani *et al.*, 2013). Our case firms invested in the development of integrated facilities and highlighted the beneficial role of these facilities:

Since the start of 2009, we actively engaged in providing full services to international clients, as we fully adhere to their needs of one-stop-shop. We materialize their ideation and concept into product design, and pattern development into finished products and deliver them to their doorsteps. This is all because of our integrated production capabilities [...]. (R11) C2.

Our modern vertical production facilities enable us to create flexibilities, control and speed in our operations and supply chain to meet the volatile fashion demand in a stipulated time" (R17) C3.

We have the expertise and capabilities to shape the ideas in customer mind and convert them into physical products, processes, and services (R21) C4.

4.1.4 Innovative product/design development capabilities

The cross-case analysis highlighted the beneficial role of buyer relations and the effect of their specifications on the knowledge acquisition and learning related to designing, NPD, contemporary finishing and washings and other technical dimensions (Love and Ganotakis, 2013; Patrucco *et al.*, 2022).

The findings identified the central role of buyers as partners in developing suppliers' capabilities in designing and offering new products and services (Chung *et al.*, 2021; Gebauer *et al.*, 2010). The simultaneous connection with buyers and different value chains and handling of their diverse specifications remained influential in suppliers' learning about technical aspects, the latest treatments and washings, designs and pattern developments (Love and Roper, 2015; Wen *et al.*, 2021). It enhances the supplier's capabilities to develop tailored-made solutions such as designing and pattern development services (Gölgeci *et al.*, 2021; Baines *et al.*, 2011). Moreover, the analysis acknowledged the supplier's reactive and proactive strategies in meeting volatile demand for customized, higher fashion contents, innovative styles, washing and fits.

Therefore, suppliers' engagement in integrated product support services and solutions is vital for their learning, value creation and moving up in the value chain Anand and Khanna (2000), Kohtamäki *et al.* (2021). Resultantly, the suppliers tend to provide a wide range of designs, washings, finishing and

pattern development services according to the specific customers' needs in a specific market and time:

[...] working with international brands design teams enhance our capabilities, ideation, modifications in the existing and future design ideas (R6) C1.

Handling global brands and their diverse design specifications over the years enhances our learning and building expertise. We implement the various designs aspects to include innovative our offerings & washing on regular basis according to the seasons and market preferences [...]. (R11) C2.

[...] customer provided detailed design specifications, which are influential in our learning and knowledge about the dynamics of markets [seasonal changes, fad and fashion, market-specific preferences and certain rules and regulations] [...]. It enriches our knowledge about the contemporary designing needs [...]. (R17) C3.

[...] we translate conceptual ideas into reality through our technical bent and professional insight. Implementing the diverse designs ideas and needs of various international brands remains an open book lesson on the production floor [...]. (R22) C4.

Additionally, the findings identified the involvement of suppliers in proactive strategies and investments in designs and pattern development. The acquisition of designers and developers helped suppliers to mitigate knowledge gaps, learn relevant techniques from buyers' and tune their operations accordingly (Morgan and Anokhin, 2020). The cross-case analysis identified the acquisition of designers/developers and the development of design studios as critical sources of learning, bringing new knowledge and innovative ideas, unique designs and patterns to the suppliers (Björklund *et al.*, 2020; Gebauer *et al.*, 2011):

We established industrial engineering unit, invested in innovation and R&D, and designed facilities. Also, we hired foreign textile experts [designers and developers] with extensive experience and knowledge of the Western markets. This enables us to hatch innovative ideas, explore new aspects in designs, and wash and develop new offerings. Such involvement empowers us to be ahead of many [...]. (R22) C4.

I believe that we are one of its kind in Pakistan that serves international clients in diverse services over decades. We provide value-added services such as contemporary washing and finishing, style, pattern, and design developments. We are not only these services providers to high street brands but serve as a design centre for few of them (R3) C1.

Furthermore, the analysis highlighted the industry dynamics and trends to offer innovative concepts (new designs, products, washing, process, etc.) on a seasonal basis to attract buyers for the upcoming season. If the clients show interest in the offered products and services concept, this means that supplier will get orders in the coming season. Therefore, the buyers tend to rely on suppliers to provide innovative seasonal collections and concepts in addition to their own product concepts. Suppliers, therefore, were proactively engaged in showcasing their innovation and concepts as promotional/marketing tools to attract potential buyers and enhance their business. These offerings are based on the suppliers' capabilities developed from prior learning experience and engagement with buyers, such as customers specifications (Sampson and Spring, 2012), strategic alliances (Turkina and Van Assche, 2018; Inkpen and Pien, 2006), the establishment of marketing and sales offices in the end-consumers' geographic regions (Audretsch and Belitski, 2020). Also, the suppliers' proactive involvement in R&D, reverse engineering, imitation (Malik and Kotabe, 2009; Patrucco *et al.*, 2022; Hofer *et al.*, 2021), discussion with industry experts (Zaheer and Bell, 2005) and participation in

trade shows (Geldres-Weiss *et al.*, 2022; Chongwatpol, 2015) enhanced their innovations and new offerings. The respondents narrate their engagements in promotional collections as:

[...] we innovate and present the designs and promotional concepts around the clock to get buyers' feedback, change and attract new business accordingly (R2) C1.

For a new idea [product, design], we need creativity and motivation [...], and it is multidimensional. Sometimes the nature, client specifications, suppliers, designers, competitors, international visits and expos inspire us. Also, we imitate an existing idea and tweak in a way to design and produce something new to the market to international brands [...] (R17) C3.

We showcase our exclusive designs, washings and fabrics on a regular basis as a promotional tool to international clients. Accordingly, we present it to our clients and participate in international expos such as Heimtext, Moscow Textile Fair, etc. [...] to get connected in the market (R12) C2.

We carefully craft our product concepts according to the needs [season and market]. We present our collection with a mix of diverse fabrics and treatments [technical, functional, 100% cotton, etc.], innovative designs and color schemes to various markets. We are actively showing our seasonal collections in various regional and international platforms (R20) C4.

4.2 Marketing capabilities

4.2.1 Branding and retailing knowledge

The data identified the case firms' transition from simple supplier to downstream value-added activities while actively remaining the supplier for international buyers. Over time, the frequent interactions with international buyers in their outsourcing ties (Love and Ganotakis, 2013; Wang *et al.*, 2018; Chu, 2009) allowed the suppliers to acquire market knowledge including – design, manufacturing, marketing and NPD. The case firms capitalized on their experience in design, production, marketing and NPD with buyers (Sinkovics *et al.*, 2018) to get involved in a retail business and sell their brands, registered names, logos, patents and services besides sourcing ties. There is evidence that the proactive strategies and the development of adaptive level capabilities of adjusting and leveraging accumulated knowledge and experiences are associated with the supplier's involvement in downstream value activities (Lechner *et al.*, 2020; Zhang, 2011). The acquisition of textile designers and product developers directly involves the suppliers in new designs, products and process concepts (Hutter *et al.*, 2018; Haeussler *et al.*, 2012). In addition to internal R&D and NPD capabilities, the investments in offshore R&D and designing facilities further develop suppliers' capabilities to get buyers' market trends for their branding and registered collections (Fifarek and Veloso, 2010; Nieto and Rodríguez, 2011). The findings also related the acquisition of a foreign company as a strategic move to be directly involved in international branding (Singh, 2012). The current findings relate the suppliers' branding endeavours as a vital business strategy to move up in the value chain. It is noticed that suppliers' retail brands and marketing are not in direct conflict with their buyers and sourcing partners, however in competition with buyers in certain markets. We noticed that in the start the supplier's branding and marketing focussed on a niche or specific segment in the market or certain product line as a strategy to avoid high risk and investments in the supply chain and branding, which they later expand (Figure 3).

Similarly, C3 exclusively uses acquisition as its main source of getting into branding and international marketing. The

findings indicate that C3 acquired an Italian company that has international brands, patents for specialized processes and an exclusive sales force network in more than 30 European markets. In addition to local R&D, the acquired company also helps C3 to develop specialized fabrics with its own brand in local and European markets:

In 2006, we launched a retail brand in the local market, followed by launching in Dubai through an exclusive outlet and expanding further in the regions. We are expanding in Pakistan and are more focusing on Asian and European markets [...] (R1) C1.

Since 2013, we actively engaged in selling our registered collections in South Asian markets [Pakistan, Bangladesh, India], and the UK under our brands and logo. Since 2020, we are designing, producing, and selling personal protective equipment treated with HeiQ Viroblock NPJ03 under our registered names [...] (R11) C2.

After the modernization of our production facility, we established a local design studio, R&D, and hired designers and developers, we went for retail branding. [...] (R22) C4.

The acquisition of Italian company was a strategic need [...]. directly involved in branding, marketing and retail business. As are selling under brands and registered trademarks via our own sale and distribution network in 30 countries. Also, we launched two brands in denim fabrics for sale in both local and international markets (R14) C3.

4.2.2 Ethical/social compliance knowledge

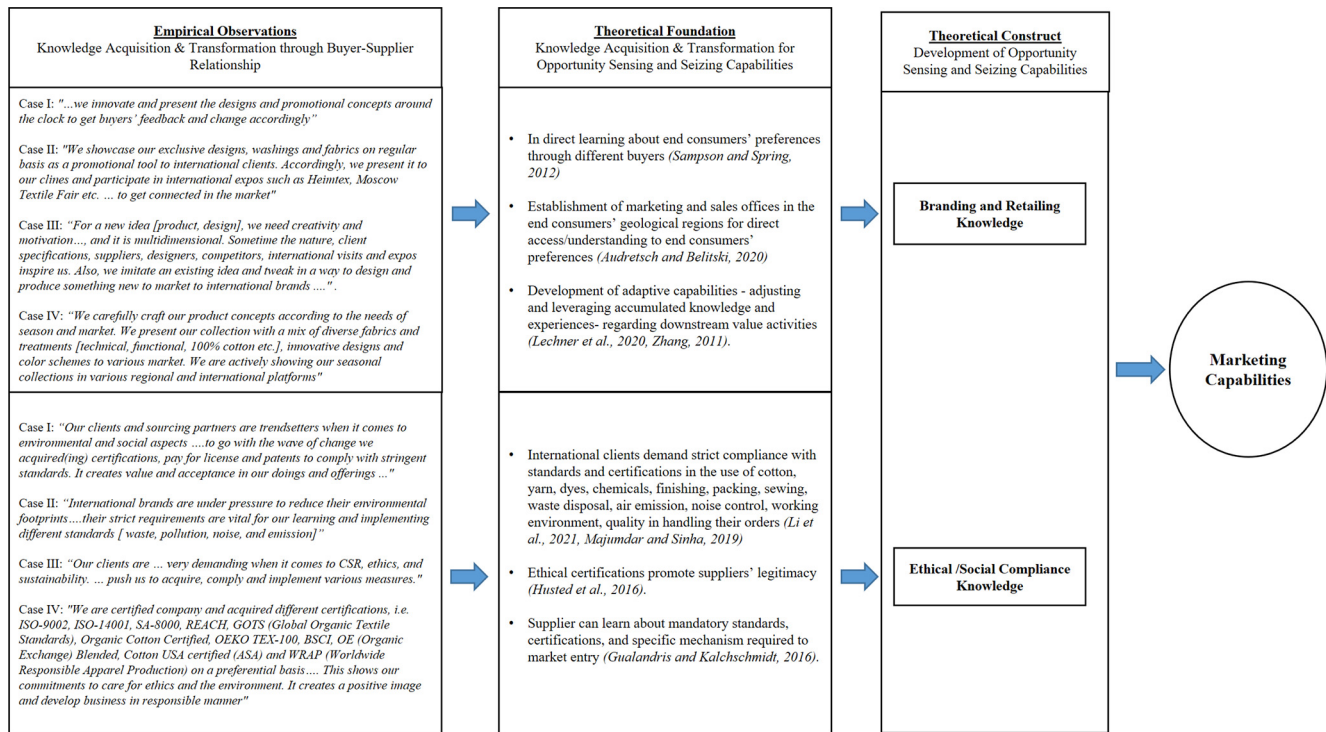
The findings identified the critical role of the acquisition of ethical certifications and accreditations for suppliers. International clients demand strict compliance with standards and certifications in the use of cotton, yarn, dyes, chemicals, finishing, packing, sewing, waste disposal, air emission, noise control, working environment and quality in handling their orders (Li *et al.*, 2021; Majumdar and Sinha, 2019). In addition, all international brands work only with certified suppliers. The customer specifications in this regard are vital for supplier learning, acquiring and enforcing mechanisms that conform to [international, regional and customer-specific] standards. In addition, the findings identified the supplier's strict code of conduct in protecting the intellectual property rights (IPR), R&D and trade secrets of their sourcing partners and clients. The number of international fashion brands and their sourcing ties has grown over time. This indicates their confidence (technical and goodwill) in the suppliers. Interviewees highlighted the role of ethical certifications in winning businesses from international buyers:

Our clients and sourcing partners are trendsetters when it comes to environmental and social aspects [...]. to go with the wave of change, we acquired(ing) certifications, pay for license and patents to comply with stringent standards. It creates value and acceptance in our doings and offerings [...] (R2) C1.

Our clients are high fashion brands, market leaders, and trend-setters. They are very demanding regarding CSR, ethics, and sustainability. They only work with suppliers they trust and have a similar philosophy [socially responsible. They always push us to acquire, comply and implement various measures (R15) C3.

International brands are under pressure to reduce their environmental footprints [...]. their strict requirements are vital for our learning and implementing different standards. We identified various aspects [environmental] of our processes and their impact and developed and implemented measures to mitigate it. We meet the PENQS requirement to manage waste, pollution, noise, and emission (R10) C2.

We are a certified company and acquired different certifications, i.e. ISO-9002, ISO-14001, SA-8000, REACH, GOTS (Global Organic Textile Standards), Organic Cotton Certified, OEKO TEX-100, BSCI, OE

Figure 3 Transformed marketing capabilities through knowledge acquisition and transformation

(Organic Exchange) Blended, Cotton USA certified (ASA) and WRAP (Worldwide Responsible Apparel Production) on a preferential basis [...]. This shows our commitment to care for ethics and the environment. It creates a positive image and develops business in a responsible manner (R19) C4.

Our case firms acquired and complied with the standards and certification on a priority basis as a strategic move. On one hand, these certifications helped them to respond to the strict requirements imposed by buyers. On the other hand, these certifications enabled suppliers to promote legitimacy in their offerings and international operations (Husted et al., 2016). Thus, through their long-term engagements with buyers from different countries and regions, our case firms acquired multiple ethical certifications that not only helped them in their buyer-supplier engagements but also facilitated them in launching their own retail brands in the end-consumers market:

[...]. besides compliance with international demand, the ethical certifications [...] led us to place and market our collections and brands with certified labels in various markets with confidence at a higher price (R9) C1.

Our operations and offerings are labeled with Oeko-Tex 100, Oeko-Tex Green, BCI, Organic Content Standard, GOTS, etc. This set direction and acceptance for our brands in the international markets (R19) C4.

[...] practice adapting to ethical certifications is a strategic choice that reaps financial benefits from cost-saving [energy, materials, chemicals, heat, water] in downstream and enhances the acceptability of our collections and brands in the downstream value chain (R11) C2.

5. Conclusions

This study explores the phenomenon of value chain movement facilitated by long-term buyer-supplier relationships in the context of offshore outsourcing and GVC.

The disintegration of the value chain and the relocation of high-quality, innovative and R&D-oriented manufacturing and processes by international firms remained a vital strategy for cost reductions and innovative solutions (Lewin et al., 2009; Stephan et al., 2008; Kotabe et al., 2003). International sourcing ties is a continuous learning process (Stephan et al., 2008), it can contribute to the suppliers' stock of knowledge and resources, allowing them to move up the value chain (Li et al., 2010; Patrucco et al., 2022; Islam et al. (2021a)). In this study, we have examined how STEEs in their sourcing ties acquired knowledge and developed capabilities that facilitated them to internalize external knowledge essential for climbing the value chain (from B-to-B to B-to-C).

We have linked long-term relationships with dynamic capabilities and explored how suppliers develop capabilities, as they interact and maintain ties with buyers by fostering the acquisition of tacit knowledge, technologies and market aspects that can facilitate a supplier's entry into buyers' business domain. However, buyers tend to share knowledge and resources only if suppliers bring complementary resources and capabilities to the relationship, such that both buyers and suppliers can learn from each other. To motivate multinational buyers, suppliers make deliberate and relationship-specific investments in diverse operations. In such a relationship, each partner brings idiosyncratic resources and knowledge (Dyer et al., 2018) and collaborates to learn, enhance their capabilities and adjust their offerings, processes and operations according to the needs of the end consumer. Through engagement in long-term relationships, both the buyer and supplier firms can develop mutual trust (Poppo et al., 2015; Barber, 1983; Dyer and Chu, 2011) and openness. It can help them to understand each other's organizational routines (Dyer and Chu, 2011;

Zahra and George, 2002), and in turn establish effective communication channels to facilitate knowledge and resources transfer. and in turn establish effective communication channels to facilitate knowledge (Scholten and Schilder, 2015) and resource transfer. Such engagements expose firms to acquiring knowledge and developing new resources and capabilities related to new products, processes and designs through experiential learning.

We observed that to motivate multinationals to share knowledge and resources, the suppliers exhibited proactivity in their strategies and actions. Consequently, they made need-based and buyer-specific investments (Ateş et al., 2012) to adapt and modernize their production capabilities and integrated systems. By doing so, the suppliers learned and materialized the consumer market knowledge (Palo et al., 2019) in innovative products, processes and designs that enhanced their production and operational capabilities. Given that while working with international clients, suppliers must comply with coercive requirements (Hunt, 2019) to protect consumers/societal concerns and ensure quality in their offerings and acceptability in their operations. The supplier can learn and comply with mandatory standards, certifications and specific mechanisms required by different governments (Gualandris and Kalchschmidt, 2016).

The longitudinal accounts from interviewees show that frequent interaction with buyers over time enables the supplier to learn and acquire a wide range of capabilities. Suppliers can then apply those dynamic capabilities to transform their learning and capabilities into high-value market opportunities. In addition, suppliers are in a better position to acquire value, as they are aware of the latest and emerging market trends (Pacheco-de-Almeida and Zemsky, 2012; Awan et al., 2021). We found that modernization of production and development of integrated production facility, design and pattern development, branding and retailing and ethical certification contributed to different phases and times of product development, branding and marketing. The integration of internal and external learning capabilities continued to influence product development and marketing capabilities as suppliers sought to move up the value chain. Therefore, such integration remained a vital source of knowledge spillover, which goes beyond the buyer-supplier relationship (Mayer, 2006; Alnuaimi and George, 2016) with focal buyers significantly affecting the supplier's movement in the value chain (B-to-B to B-to-C).

The theoretical and practical implications of the findings of the current study are discussed below.

6. Discussion

6.1 Theoretical implications

This study contributes to the SC literature in four ways.

First, it contributes to the literature on supply chain management and international business, in particular on the learning and value generation mechanism of STEEs' from the buyer-supplier relationship (Ranta et al., 2020). Consistent with existing studies (Wagner, 2003; Soosay et al., 2008; Benito et al., 2019; Islam et al., 2021a), our findings highlight how STEEs' multiplex and repeated engagements can enhance their scope of knowledge, learning opportunities and development of

capabilities. Specifically, we found that trust-based relationships with a broader set of buyers and market players can enhance STEEs' resource reach, knowledge accumulation and learning to overcome their inherited limitations (Wan and Wu, 2017; Islam et al., 2021b). Repeated ties (in a supply chain network) with multiple buyers and market players enhance trust and make it possible to share tacit knowledge and exchange idiosyncratic resources, knowledge and capabilities without fear of misappropriation (Kähkönen, 2014). Furthermore, our findings identified that the learning of resources deficient STEE goes beyond specific transactions and dyadic relationships, as they can proactively learn from other actors in their supply chain relationships. This is because the learning in dyadic is contingent on the learning and acquisition of resources from other actors embedded in the supply chain network. This contributes to the limited research that emphasizes the inclusion of supply chain actors (Yang et al., 2019). In sum, this study advances the recent discussion that focusses on learning through long-term relationships and value chain movement (from B-to-B to B-to-C) (Alcacer and Oxley, 2014; Wan and Wu, 2017; Sinkovics et al., 2018; Lambrechts et al., 2012).

Second, the current study contributes to the role of supply chain ties in enhancing the absorptive capacity and capability development of STEEs. Given the underdeveloped factor market, and uncertain institutions accompanied by resource constraints, most STEEs rely on external knowledge and resources essential for duplicative imitation (Luo et al., 2011; Chittoor et al., 2009). In this situation, they can hardly develop innovative capabilities and up-to-date production knowledge (Bilgili et al., 2016). STEE's simultaneous engagements with multiple buyers and diverse value chains expose them to a greater variety of knowledge, resources and learning not limited to markets and products but also to consumers and the latest techniques. This study provides an exemplary case of how STEEs can acquire the required knowledge to go beyond the B-to-B and enter in end consumer market, i.e. B-to-C.

Third, this study contributes to the GVC literature by illuminating the perspective of suppliers that enter the market via the inward mode (Xu et al., 2020) through integration in the GVCs (Liu and Zhang, 2014). Given the orchestrator of the outsourcing/GVC, the international buyers tend to possess and exercise high bargaining power over the suppliers, thus appropriate more value (Adegbesan, 2009). The GVCs analysis considers the supplier capabilities as a vital aspect in their governance decision but mostly suppliers are taken for granted by the GVC orchestrators. The current findings relate GVCs connection as a point of ignition, as it sparks the suppliers' knowledge acquisitions, transformation and capabilities development (Eliasson et al., 2012). Moreover, we found that international buyers adopted diverse governance modes to engage with suppliers in a different points in time. We identified the existence of the relational governance mode by the same and or different buyers at different points in time. The supplier remained in a hybrid relational mode, where the suppliers have been in business ties with buyers without any legal binding or written agreement termed as "promissory" (Hoque et al., 2016), i.e. formal contract for a certain period of time and if the supplier performs with the expected level, the buyer "promises" for future purchases without legal binding.

The suppliers make relationship-specific investments and learn through pressure to meet the required specifications/standards. Despite, the presence of disproportionate high-power exercise by the foreign buyers, the suppliers could also manage to upgrade (Mejri *et al.*, 2018) and gain lead-supplier status or switch from the existing role of lead-supplier to a competitor in the product market.

Finally, drawing on three distant but related streams of literature (i.e. long-term relationship/GVCs connection, dynamic capabilities and organizational learning), we have examined how firms can acquire vital knowledge and strategic capabilities to enhance their position in the value chain. Specifically, the integrated theoretical lens provides new insight into how resource constraints suppliers can manage and compete with international buyers in the product market (Prajogo *et al.*, 2020; Weerawardena *et al.*, 2019; Pal *et al.*, 2019; Dolci *et al.*, 2017). We showed that suppliers could get the latest market knowledge, technologies and market trends to implement such capabilities in their operations and offerings. These learning experiences can help suppliers move up in the value chain (Magnani *et al.*, 2019). Thus, long-term engagement with international clients served as a springboard for suppliers in acquiring resources, knowledge and experience.

6.2 Managerial implications

The findings of the current have a number of managerial implications.

First, this study explores the vital role of supply chain ties in supporting STEEs' access to assets, resources and knowledge acquisition. This finding depicts that suppliers' should have a strategic focus while developing capabilities. This can be done by identifying, assessing and implementing up-to-date external knowledge into their internal routines, systems and processes (Jean *et al.*, 2017) that may help them upgrade in the value chain.

Second, the long-term relationship with diverse foreign buyers and value chains can certainly contribute to the learning stock of suppliers to keep abreast with the latest market knowledge, production, technologies and ethical aspects necessary for climbing up in the value chain. But such learning and resource acquisition are not readily available to the suppliers. The top managers in the suppliers' firms should proactively engage in deliberate strategies and adopt dynamic ways to learn and develop relationship-specific capabilities that motivate buyers and other supply chain actors to share resources and extend their ties. This enhances suppliers learning, development, implementation and use of diverse knowledge, learning and capabilities to move up the value chain.

Third, the current findings have implications for policymakers in traditional emerging economies in particular Pakistan where this study is conducted. One policy implication is that a parent network of garment associations, such as All Pakistan Textile Mills Association and Pakistan Textile Exports Association should highlight the importance of capabilities development and encourage members to explore the possibilities to enter the end consumers' market.

Finally, the current findings can help firms to carefully search, select and evaluate their partners and expand their ties accordingly. Given bounded rationality, informed decisions

and actions will help firms understand how their partners contribute to value creation and enable others to capture value. This study provides strategic insights on what, how and why involved parties engage over an extended time and under what governance model. Moreover, this study's findings can help firms understand and adopt the right type of technology(s) and systems that help can firms reduce the technological gap in producing and marketing the market-winning products, learning, knowledge and resources that partners bring into the relationship. The findings identified the vital and beneficial role of long-term relationships in creating value and alleviating opportunistic behaviour and power asymmetry. However, the possibility of exercising power and the value captured by power players such as multinationals and major buyers cannot be neglected. Therefore, both suppliers and buyers must be aware of such occurrences and mitigate them through preventive measures and strategies

6.3 Limitations and scope for future research

The current study has several limitations that need attention when implementing and interpreting the findings of this study, despite the substantial evidence that has been provided to ensure research quality (confirmability, trustworthiness and transferability). The current study is context-specific and focusses on suppliers in the textile industry in Pakistan, which may not reflect the realities in other industries and countries. Similarly, the study uses one-sided data, focussing on the suppliers' perspective in the relationship with foreign buyers, thus not considering the buyers. Moreover, the study adopted purposive sampling and focussed on well-established and experienced supplier firms that are involved in GVCs and international supply linkages over a long period of time, which may not represent small firms, new suppliers that have established ties recently, and failed Pakistani suppliers. While coding the data we focus on the similarities rather than the differences between respondents and the cases, therefore it would be useful to include the unique aspects in the analysis to gain deeper insight.

The limitations of this study may lead to new directions for future research. It will be interesting to categorize different industries and institutional/economic settings and investigate the value climbing process, such as learning speed, capability development and market competitiveness. In addition, the value climbing process of suppliers should be extended to suppliers who are in various stages of their relationship (i.e. initial or mature) with foreign buyers/in the GVC. It would be interesting to conduct a comparative analysis between different industries and investigate whether dynamic capabilities and long-term relationships have a different effect on the supplier's value climbing process. Furthermore, a detailed account of the relationship between the supplier and buyer (dyadic) and the strategic role of each partner/relationship in the value creation and distribution is a topic for future research. The research should focus on the value creation and appropriation of the high bargaining power of global brands and their suppliers and the potential change of their existing roles and governance structure over time. We analyse the value climbing and competitiveness of the supplier with the focal buyer. Further research should continue in the same line and investigate long-term supplier relationships with multiple buyers. It will be

interesting to investigate how long-term buyer–supplier relationship creates contradictions, stress and disagreement in B-to-B relationships.

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